example, in late 2014, China and Russia signed a thirty-year, $400 billion deal for the Russian gas company Gazprom to supply China, although the collapse of the ruble delayed agreement on pricing terms and whether China would pay in RMB.

Brazil's state oil and gas company Petrobras, the country's largest firm, held in 2011 what then was the world's largest-ever initial public offering, raising almost $70 billion. By 2014, however, it was embroiled in a profound corruption scandal that helped to bring down Brazilian President Dilma Rousseff in mid-2016. With global markets temporarily closed to it, in early 2016, Petrobras raised to $10 billion its total outstanding loans from the CDB.[142] Similar financial largesse, with few obvious strings attached, has characterized China's recent relations with India and South Africa.

OUTSIDE OPTIONS: DIMINISH DOLLAR DOMINANCE AND BUILD THE FINANCIAL MARKET POWER OF THE RMB (CASE 4)

The fourth and final case in this chapter involves BRICS collaboration to support the internationalization of China's currency, the RMB, as a means to challenge the dominance of the U.S. dollar in the world. It provides an example of the type of financial statecraft collaboration identified in the lower-right cell of Table 3.2. RMB internationalization creates an outside option for these countries to diversify their international transactions currencies, and in the future, possibly reserve currencies as well. Leaders in each of the BRICS countries have complained about the overwhelming power and "exorbitant privilege"[143] accruing to the United States, whose home currency has served since the mid-twentieth century as the global reserve currency and major transactions and trade invoicing currency, and whose government's low-yielding Treasury securities are understood to be the world's safest and most liquid asset for investment. Such dollar dominance has imposed on governments the constant imperative to provide *de facto* cheap loans to the United States. Particularly for China, which had accumulated massive foreign exchange reserve and dollar-denominated assets in the past, the "dollar trap"[144] and uncertainty of U.S. monetary policy has become an acute problem.[145] More generally, the high opportunity cost of dollar reserves and uncertainty related to U.S. monetary policy has led the leaders of these emerging or reemerging powers to prefer, in principle, to have an alternative to the U.S. dollar through actions to promote a greater multiplicity of reserve and transactions currencies.[146]